STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

Nippon Steel

Tokyo Stock Exchange: 5401 · Materials / Steel · Japan

Priced as a declining Japanese steelmaker; becoming a global producer with overseas profit set to more than double

OVERWEIGHT Medium conviction

Price	**¥659**
Target (base case)	**¥916**
Upside / downside	**+39%**
Horizon	**2-3 years**

Price: close, 29 Oct 2026

¥3.43tn
Market cap

0.54x
P/B (third-party)

≥ ¥700bn
FY26 underlying profit guide

3.6%
Yield on ¥24 floor

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Priced as a declining Japanese steelmaker; becoming a global producer with overseas profit set to more than double

OVERWEIGHT

¥916

base-case value, +39% vs ¥659

Nippon Steel trades at about 0.54x book. The market sees a domestic steelmaker hit by Chinese exports. We see a group whose overseas profit is guided from ¥123bn to ¥320bn in one year, led by U.S. Steel behind US tariffs, with permanent financing in place and a ¥24 minimum dividend.

1 Overseas profit is about to more than double

Overseas steel and raw materials made ¥123bn of underlying business profit in FY2025; the FY2026 forecast is ¥320bn. U.S. Steel alone swings from a ¥6bn loss to at least ¥180bn.

2 The domestic base is restructured

Kashima upstream closure and contract-price reform cut the domestic break-even by 40%. The H2 FY2026 run-rate target was raised to at least ¥900bn of annualised underlying profit.

3 Financing risk is gone

¥600bn of convertible bonds, a ¥500bn hybrid loan and ¥900bn of JBIC-led loans refinanced the U.S. Steel bridge loan by March 2026. The 2030 plan sets a ¥24 minimum dividend and a D/E target of about 0.7.

Nippon Steel at a glance

Domestic steel

Japan's largest integrated steelmaker: ¥528bn of underlying business profit in FY2025, restructured.

U.S. Steel

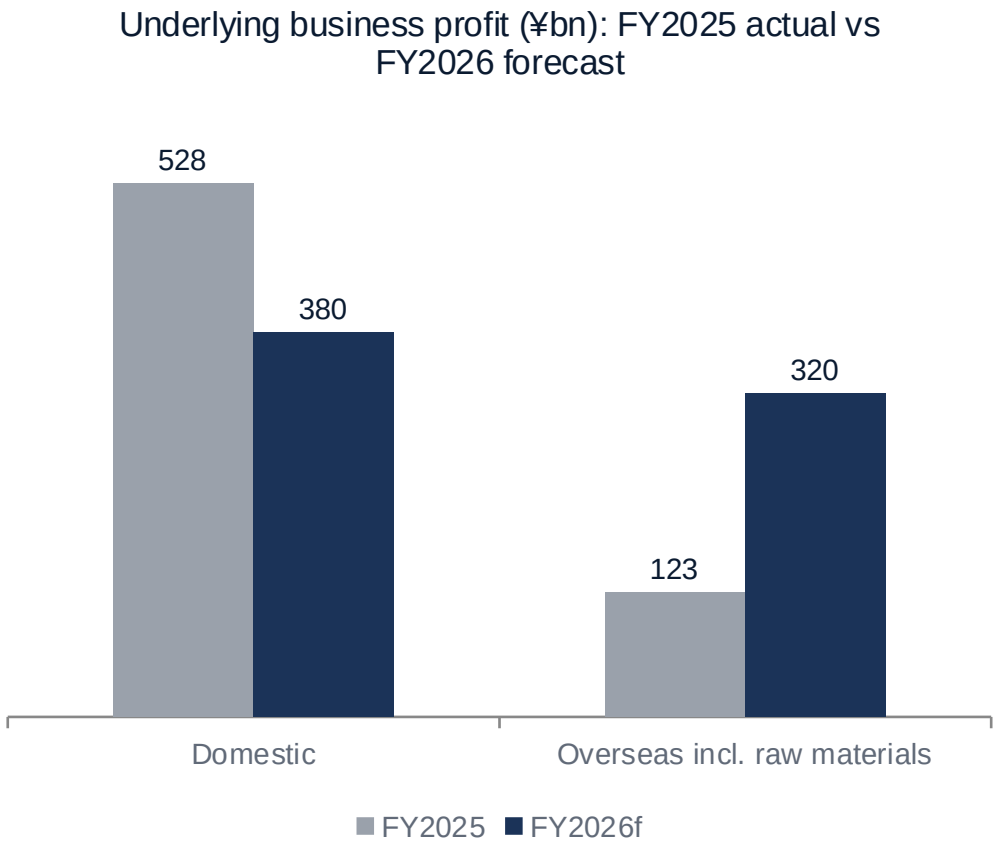
100% owned since June 2025 (~$14.9bn), under a National Security Agreement with a US golden share.

India and other overseas

AM/NS India JV with ArcelorMittal (capacity 9 to 15 Mt/yr), Thai and ASEAN operations, Ovako, Nippon Steel Slovakia.

Raw materials

Coking coal interests: a partial hedge on input costs.



Source: company filings; Underlying business profit (¥bn): FY2025 actual vs FY2026 forecast (FY2026 domestic derived as total guide minus overseas guide)

What moves the stock beyond the company

~119 Mt — **Chinese steel exports**

Record in 2025 per the company: the main pressure on Asian spreads.

Section 232 — **US steel tariffs**

Protect U.S. Steel's pricing; the investment case leans on them.

¥160/$ — **Yen**

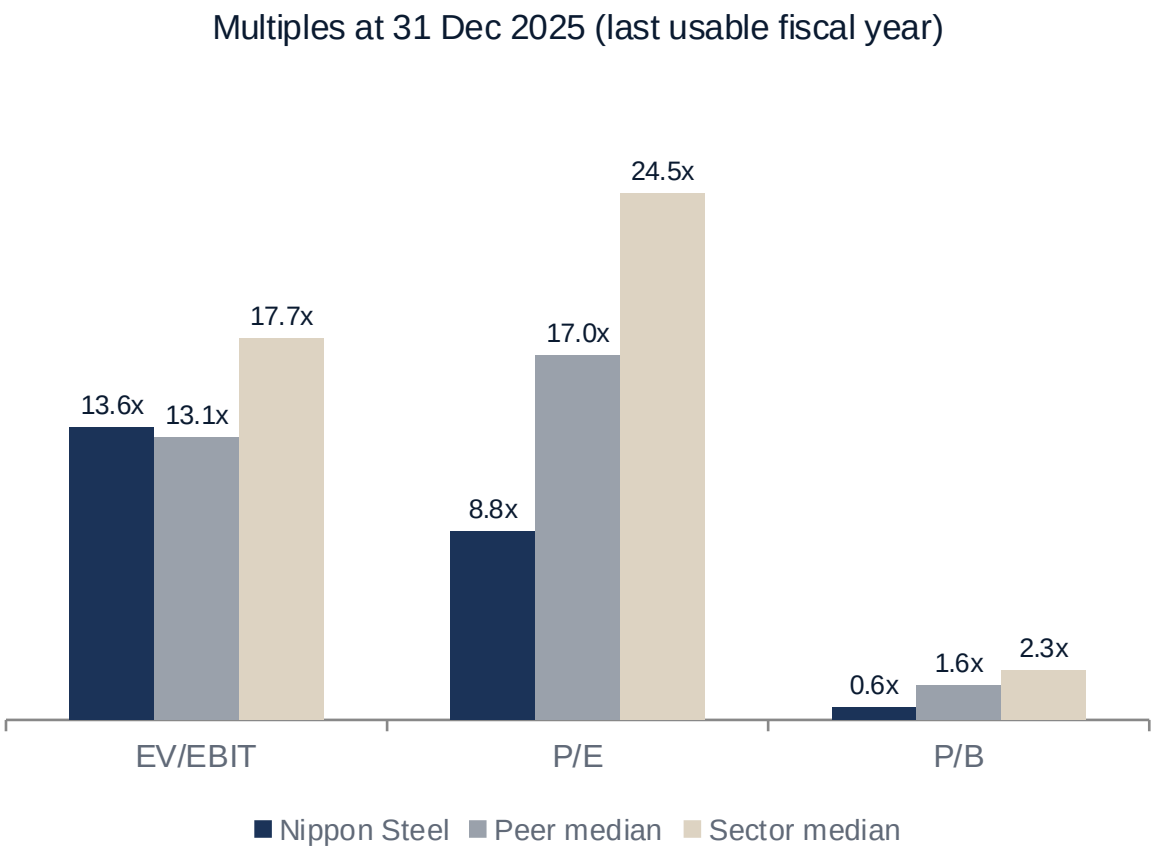
FY2026 assumption: a weak yen lifts overseas profits in yen and inventory valuation gains (¥80bn).

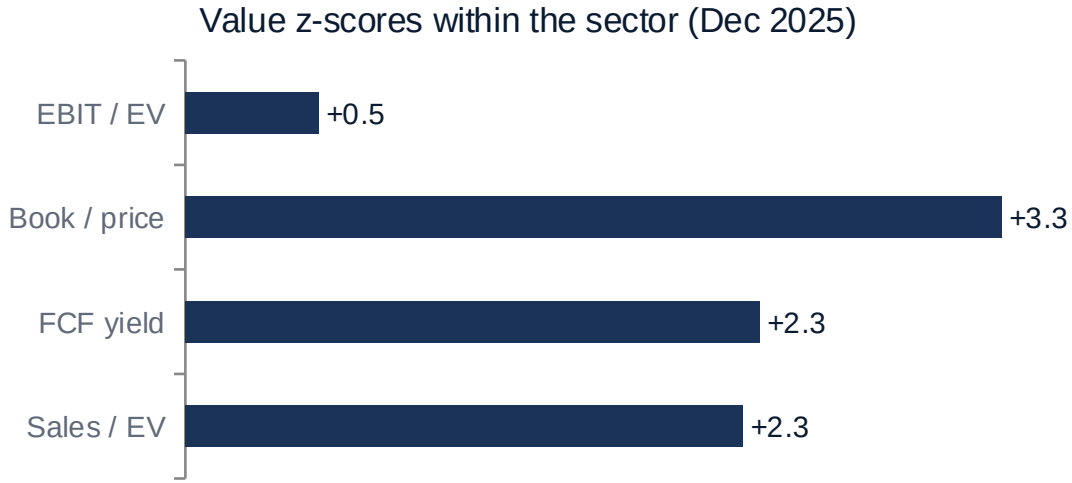
−¥60bn — **Middle East costs**

FY2026 impact from raw materials, fuel, logistics and lost exports, absorbed in the guide.

Source: company releases and research brief (see Sources slide)

Ranked 1 of 62 in Materials on our value score

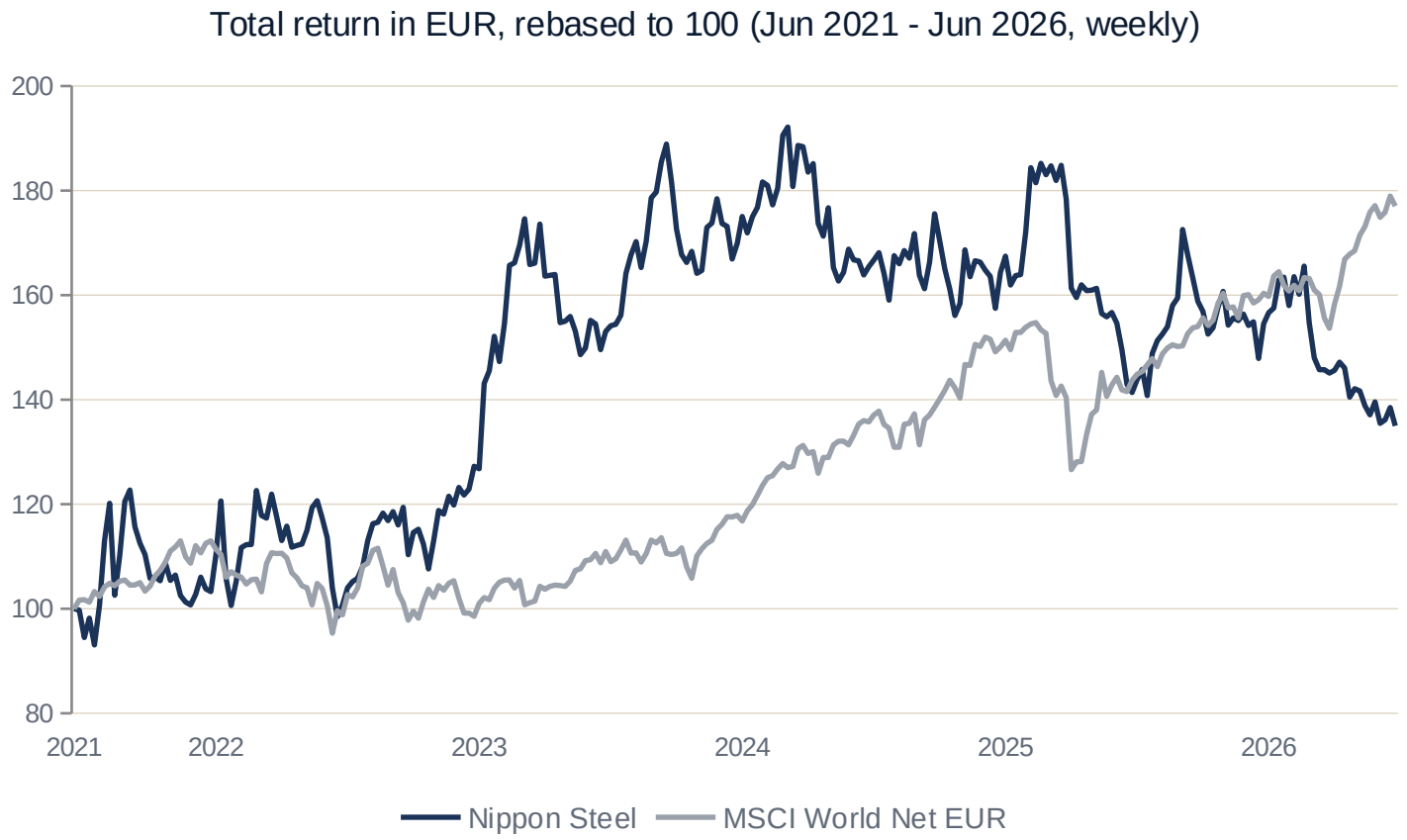




Composite score 2.12, first of 62 in its sector. The score averages the z-scores above (four ratios as yields). Accounts are used only from fiscal year end + 6 months, so in December 2025 the screen read the accounts for the fiscal year ended March 2025.

Source: Portfolio Project pipeline (Bloomberg data); peers: ArcelorMittal, Nucor, Steel Dynamics (pipeline peer set); JFE, POSCO, Kobe Steel for regional context.

Held at 2 of 10 rebalances since June 2025



−14.1%

H1 2026 return (EUR)

+10.8%

MSCI World Net EUR, H1 2026

2.0%

Weight, equal weight

2.0% / 4.0%

Min-variance / mean-variance

Source: pipeline weekly total returns (EUR, net of withholding tax) and portfolio weights at the 31 Dec 2025 rebalance

Reported numbers and guidance

	FY2024	FY2025	Q1 FY2026	FY2026 guide
Revenue	¥8,696bn	¥10,063bn	¥2,821bn	¥11,200bn
Underlying business profit	¥794bn	¥650bn	¥108bn	≥ ¥700bn
of which U.S. Steel	—	−¥6bn	¥32bn	≥ ¥180bn
Profit to owners	—	¥17bn*	¥75bn	¥290bn
EPS (post-split)	—	¥3	¥14	¥55
DPS (post-split)	¥32	¥24	—	¥24 (minimum)

*After ¥271bn of impairments and transfer losses (AM/NS Calvert, Usiminas). Fiscal year ends 31 March (FY2025 = Apr 2025-Mar 2026). Per-share data after the five-for-one split. Sources: Nippon Steel FY2025 and Q1 FY2026 materials.

07 VARIANT PERCEPTION

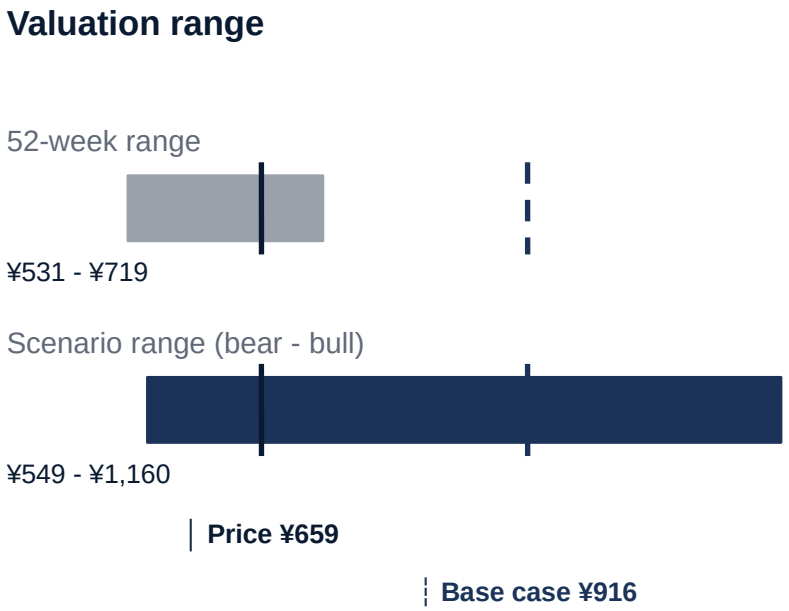
Where we differ from the market

WHAT THE MARKET BELIEVES	OUR VIEW
“Chinese steel exports will keep crushing spreads”	They hit the domestic business, which is why we focus on overseas: U.S. Steel sells behind Section 232 tariffs and India grows with local demand.
“U.S. Steel was overpriced and is politically constrained”	The golden share limits closures, but FY2026 guidance already assumes U.S. Steel at ≥ ¥180bn after the Gary relining.
“The balance sheet is stretched”	Adjusted D/E is 0.71 and the debt is now long-dated; the CEO calls ~1.0 acceptable during heavy investment.

Base-case value ¥916 per share, +39% vs today

Method: Price to book against the return path

Scenario	Key inputs	Value / share	vs price
Bear	0.45x book (¥1,221 BVPS) U.S. Steel turnaround stalls; equity raise	**¥549**	**−17%**
Base	0.75x book (¥1,221 BVPS) FY2026 guide delivered; H2 run-rate ≥ ¥900bn	**¥916**	**+39%**
Bull	0.95x book (¥1,221 BVPS) On track for ≥ ¥1tn and ROE ~10% by FY2030	**¥1,160**	**+76%**



Steelmakers trade on book value adjusted for returns. The 2030 plan targets ROE of about 10%, which would justify roughly 1x book; FY2025 ROE was 0.3%. We apply 0.45x (no recovery), 0.75x (FY2026 guide delivered) and 0.95x (path to the 2030 plan) to book value per share implied by the 0.54x third-party P/B.

Source: own valuation; 52-week range and consensus from third-party data (29 Oct 2026)

What could move the stock in the next 12-18 months

Early Nov 2026

H1 FY2026 results: does H1 underlying profit reach ¥250bn?

H2 FY2026

Gary furnace back from relining; Big River 2 ramp-up; Nagoya hot strip mill

FY2026

Asset sales of at least ¥100bn

May 2027

FY2026 results and first FY2027 forecast

2026-2028

Remaining ~$7bn of the $11bn US investment programme

The number to watch: H2 FY2026 underlying profit annualising well below ¥900bn

Risks, mitigants and what would make us sell

Risk	Mitigant
U.S. Steel execution and capex overrun	Tariff protection; $0.3bn synergies in FY2026
Leverage and convertible dilution	Long-dated financing; ¥730+ conversion prices
Chinese oversupply	Domestic cost base reset
Profit flattered by yen and inventory gains	Base case on operating run-rate

WE SELL IF

- H2 FY2026 underlying profit annualising well below ¥900bn
- U.S. Steel profit falling back toward zero, or D/E above ~1.0
- A cut to the ¥24 minimum dividend or further overseas impairments

Sources

[N1] Nippon Steel Corp., "Q1 FY2026 Financial Results" (presentation), 4 Aug 2026

[N2] Nippon Steel Corp., "FY2025 Financial Results" (presentation), 13 May 2026

[N3] Nippon Steel Corp., IR presentation for individual investors, 23 Jun 2026 (not read in full)

[N4] Nippon Steel Corp., 2030 Medium- to Long-term Management Plan, 12 Dec 2025

[N5] Nippon Steel newsroom 2026 (press releases index)

[N6] Hunton Andrews Kurth, "Nippon Steel Completes Acquisition of US Steel Under National Security Agreement", Jun 2025

[N7] BusinessDay / Reuters (K. Golubkova), "Nippon Steel plans Japan's biggest convertible bond offer yet", 24 Feb 2026

[N8] MarketScreener, Nippon Steel quotes and valuation pages (close 29 Oct 2026, 52-week range, market cap, multiples)

[N9] SteelOrbis, "Nippon Steel to strengthen European and specialty steel operations with new strategic moves", May 2026

[N10] SteelOrbis, "Nippon Steel swings to net profit in Q1 FY 2026-27…", 4 Aug 2026

[N11] GMK Center, "Nippon Steel increased steel production by 27.5% y/y in FY2025/2026", 14 May 2026

[N12] GMK Center, "Nippon Steel to raise $5.6 billion to finance deal with U.S. Steel", 3 Jul 2025

Portfolio Project pipeline: scores, multiples, weights and returns computed from Bloomberg data extracted on the SKEMA terminal (Oct 2026).

Disclosure: student research prepared for educational purposes and job interviews. It is not investment advice or a solicitation. Third-party market data (prices, consensus, forward multiples) is labelled and was accessed on 29 October 2026; third-party figures should be checked against company filings or a Bloomberg terminal before use. Backtest results are hypothetical.